

entity and rebranded it to InnoVen Capital India.

“From 2017, the venture ecosystem started expanding rapidly. The amount of funding that we would have done from 2009 to 2016, we do more than that today in a year,” says Sharma. InnoVen, which initially operated through an NBFC before floating an alternative investment fund (AIF) in 2017, has disbursed over \$500 million to Indian start-ups.

Trifecta, the first firm to launch a formal venture debt fund in India in 2015, disbursed just shy of ₹900 crore in 2021 and expects to disburse about ₹1,200-1,500 crore in 2022. In total, it has invested about ₹2,700 crore across its three funds and 95 companies and has gone on to launch an equity fund for late-stage bets.

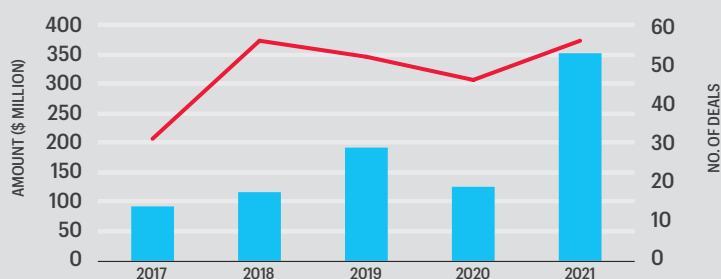
Alteria, launched by former SVB India senior executives Murali and Ajay Hattangdi, has committed to about \$200 million worth of deals in 2021 alone, across 65 transactions, taking its average deal size to approximately \$3 million. Today, the company manages more than \$375 million of capital across two funds and anticipates \$200-250 million worth of deals in 2022. Almost 60 per cent of its second fund has been drawn in just the first 12 months.

In a typical seven-year lifecycle of a venture debt fund, the draw and recycling period is till year five, while the fund returns capital on the principal in the last two years. To be sure, debt funds generate interest income all along its life which gets distributed on a quarterly basis. A fund's recycle ratio is typically 1.8-2x during the investing period, which means a fund of \$100 million could potentially do over \$200 million of credit during its lifecycle by recycling capital.

Venture debt financing is generally structured to yield 13-15 per cent interest rates with a 3-4-year repayment periods. Almost all providers structure an equity upside in the

IT'S RISING

Venture debt has been steadily increasing, and shot up sharply in 2021



■ Amount (\$ million) ■ No. of deals
Data based on publicly announced deals
Source: Venture Intelligence

TOP VENTURE DEBT DEALS IN INDIA IN 2021

Company	Sector	Investor	Amount (₹ crore)	Date
GlobalBees	Ecommerce roll-up	Trifecta Capital	250	December '21
Mensa Brands	Ecommerce roll-up	Alteria Capital	150	December '21
Infra.Market	B2B e-commerce	Alteria Capital	100	July '21
BharatPe	Fintech	Alteria Capital, Trifecta Capital, InnoVen Capital, ICICI Bank	34.5	January '21
MyGlamm	Online beauty and skincare	Stride Ventures, Trifecta Capital	21.04	July '21
Cars24	Used cars marketplace	Trifecta Capital	13.44	July '21
Udaan	B2B ecommerce	InnoVen Capital	10	November '21

Source: Venture Intelligence/media reports

KNOW YOUR DEBT FUNDS

Interest rates

13-15%

LP returns

17-18% gross

Loan tenures

3-4 yrs

Equity upside

8-12% of debt

INDIA'S TOP DEBT FUNDS

Company	Disbursements from 2017-2021 (₹ crore)	No. of deals	Total funds raised till date (₹ crore)	Average ticket size (\$ million)
Trifecta	2,600	145	2,275	NA
Alteria*	2,650*	160	2,782	3
InnoVen	3,500	170	2,500**	5
Stride***	1,281	55	925	4-5
BlackSoil****	1,189	95	800	1.6

*Started investing in 2018; data from March 2018-December 2021

**Operated through an NBFC earlier; first fund launched in 2021. Amount given is an approximate figure combining NBFC investment and first close of new fund

***Started investing in 2020; data for 2020 and 2021

****BlackSoil lends through an NBFC as well as a venture debt fund

Source: Company data/media reports